

HEADLINE JUDGMENT

Score HOLDS at 27/30 for a twenty-first consecutive edition. No channel moved. One, and it is the whole judgment: the oil channel's hold has become a choice between two rising series rather than a reading of one. The scored continuation closed **\$93.16** on 7 September, **\$1.84** below the **\$95** upgrade and its highest close since 24 July; the active contract closed **\$97.00**, a fourth straight close through the level. Two closes on the scored series fires the upgrade and takes the score to 28. It is held on the continuation for a reason that is affirmative and not inertia: the upgrade, the downgrade and the pre-war anchor are all written on that series, and moving one of the three would make the channel incoherent in the other direction. \$9.56 was disclosed on 2 September, before the level was straddled; the alternative reading is printed, not suppressed. Two. Five of six channels sit at the cap, so the score registers none of what the window contained — AAA diesel setting all-time highs on 4, 6 and 7 September, a blockade tally moving twice in four days, Kpler's lowest reported traffic reading since May — and none of what cut the other way, a seventh day with no acknowledged American strike on Iranian soil. Three, and it is a limit of the instrument rather than of the market: the political channel is scored on a GASOLINE series while the records were in DIESEL, and gasoline did not follow, at **17.3%** below its own 2022 record. The channel cannot see a diesel record by construction. **Whether it should be scored on a distillate series is a real question and is not decided under the pressure of a record.** Four. The bond market still declines to price any of it as inflation, and the honest form of that is bounded by a date: through 4 September, the last day on which either the extract's breakeven or an independent Treasury par curve resolves, ten-year compensation was flat to two decimals. The diesel records and the **\$97.00** close fall AFTER it and are untested by any reading this document holds. The breakeven is **UNRESOLVED** on both rows of this extract — a move on a shut market, then an exact four-decimal repeat in a live one — and three rate fields the last edition published as marks are simply GONE, which is new pitfall \$9.60. Meanwhile Iran's security council and then its foreign ministry both said a Hormuz arrangement with Oman is close; Oman has published nothing on it, from a site its own footer shows was updated on 7 September. Sequencing 27 → 27 → 27.

1 · LIVE TAPE

The scoring reference **SPLITS** this edition: the 7 September close for the energy series that traded, the 4 September close for every rate field, because 7 September was US Labor Day and no 7 September rate close exists at all. The 8 September row is a Singapore-MORNING mark and moves no channel (A9a). \$9.35 FIRES on SEVEN fields of the 7 September row — the 2-, 5-, 10-, 20- and 30-year, the 2s10s and the DOLLAR INDEX, all identical to the 4 September close; BE10, the 5y5y and the VIX MOVED but cannot have settled on a shut market, so they are unresolved under \$9.58c rather than \$9.35. \$9.35 FIRES AGAIN on the 8 September row, on BE10 alone, in a LIVE row. (!) \$9.8 FIRES IN A NEW FORM: WTI CL2, CLA and Henry Hub, all published as 7 September marks last edition, are BLANK here — the row **LOST** values it had. New pitfall \$9.60. \$9.41 **CLEARs**. Every row carries its Bloomberg ticker from the extract's own header scan (\$9.4). **Trigger notes are compressed to \$5A's spec**; the full commentary, the integrity record and the reconciliation are at ANNEX A1.

1.1 · Energy

Series	BBG ticker	3 Sep	4 Sep	7 Sep close	8 Sep mark	Trigger note
Brent, front-month listed — scored	CO2 Comdty	91.63	92.32	93.16	93.32	+\$0.84 , its highest close since 24 July. \$1.84 from the \$95 upgrade, from \$2.68 — nearest since it was last ABOVE the level on 24 July, but still more than twice its own largest daily move of the last four sessions. \$20.68 above the \$72.48 downgrade, which is written on THIS series too
Brent, active contract	COA Comdty	95.52	96.28	97.00	97.20	(!) A FOURTH consecutive close through \$95 , the highest active close since 22 May (\$100.21) and the TWENTY-SEVENTH such close of the war. First run of four since a twenty-close run ended 22 May. On THIS series the condition is met four times over; the rule is not moved (\$9.56b, \$2.1)
WTI, front-month listed — scored	CL2 Comdty	88.03	88.57	LOST	89.46	(!) NO 7 SEPTEMBER CLOSE EXISTS — the cell held 88.96 last extract and is blank here (\$9.60). No d/d asserted. No trigger on WTI
WTI, active contract	CLA Comdty	91.30	91.48	LOST	92.53	(!) Same loss. On the 8 Sep mark this basis is 3.07 from 2.91, a widening, while Brent's ran 3.96, 3.84, 3.88 — two contracts, two directions
Henry Hub natural gas	NGA Comdty	2.913	2.975	LOST	2.956	(!) Same loss. On the last RESOLVED close, 2.87% below its \$3.063 anchor, the smallest discount since 8 July. The regional split still points to a Hormuz loading shock, but it holds by 8.8 cents
Dutch TTF natural gas	TZTA Comdty	71.810	71.952	73.306	73.990	+€1.354, the SECOND -highest close of the war; €73.634 of 2 Sep stands by 32.8c. +134.7% vs pre-war. (!) \$9.1 paid: last edition's €74.855 mark was above the record, nothing was claimed, and it settled €1.549 LOWER. The 8 Sep mark is above it again; again nothing is claimed
Japan/Asia LNG	JGLA Comdty	3,960	3,929	4,010	no print	+81, a THIRTEENTH war-record close and the first print of this war above 4,000, taking out the 3,960 of 3 Sep by 50. +140.3% vs pre-war, the largest multiple on the tape; TTF at +134.7% is the only other series here that has doubled

1.2 · US Treasuries and inflation expectations

Levels in per cent. (!) THERE IS NO 7 SEPTEMBER CLOSE AND THEREFORE NO d/d COLUMN. Six of the eight 7 September cells are identical to the 4 September close to four decimals (\$9.35); BE10 and the 5y5y MOVED but cannot have settled (\$9.58c). None enters a reconciliation (\$9.37). The 8 September column is a MARK, and the change spans TWO trading sessions across FOUR calendar days. The unscored 20-year, not tabled, marks 5.2482 against a 5.2469 close, **+0.13 bp**. No trigger is written on the 2-year or the 5-year (\$2.1, A10.1).

Tenor	BBG ticker	3 Sep	4 Sep close	7 Sep	8 Sep mark	4→8, bp	Trigger note
2-year	USGG2YR Index	4.3360	4.3661	unresolved	4.3727	+0.66	The largest move on the curve, still under a basis point across two sessions. The 4.3998 war high stands by 3.37 bp on the close, 2.71 on the mark. NO trigger here
5-year	USGG5YR Index	4.5144	4.5448	unresolved	4.5502	+0.54	4.5551 stands as the war high by 1.03 bp on the close and 0.49 bp on the mark. A mark settles nothing. NO trigger here
10-year	USGG10YR Index	4.7680	4.7821	unresolved	4.7862	+0.41	4.7981 stands by 1.60 bp on the close. On the MARK it would satisfy Threshold B's 4.65% leg by 13.62 bp against 13.21 — but a mark decides no threshold, and the seventh close is decided on 8 September
30-year	USGG30YR Index	5.2465	5.2423	unresolved	5.2444	+0.21	On the MARK it would clear 5.20% by 4.44 bp against 4.23, ending the two narrowings on the published record (5.71, 4.65, 4.23). The Treasury downgrade's yield leg fails by 24.23 bp on the last close and has not closed below 5.00% since 6 July; the 5.3060 war high stands by 6.16 bp
2s10s spread	USYC2Y10 Index	42.788	41.394	unresolved	41.144	-0.250	A mild FLATTENING, consistent BY CONSTRUCTION with the two marks (41.144 = 4.7862 – 4.3727). (!) A separate ticker is NOT a separate observation. 14.246 bp flatter than the 55.64 anchor on the close
10-year breakeven	USGGBE10 Index	2.3539	2.3532	2.3536 unres.	2.3536 unres.	n/a	(!) UNRESOLVED ON BOTH ROWS, FOR TWO REASONS: +0.04 bp on a SHUT market, which cannot be a settlement (\$9.58c), then an EXACT four-decimal repeat in a LIVE row (\$9.35). Last resolved 2.3532% , 9.63 bp above its anchor. A Treasury par-curve read has it flat at 2.35% on 1–4 September — two decimals, direction only
5y5y forward breakeven	USGG5Y5Y Index	2.3154	2.3082	2.3032 unres.	2.3030	n/a	(!) The count of closes above the 2.30% firing level STAYS AT FOUR: 7 September produced no close. Had 2.3032 been one it would have been a fifth; none is claimed. Last resolved 2.3082% , 0.82 bp clear, the narrowest of the four. 16.62 bp above the 2.142% anchor

1.3 · Cross-asset

Series	BBG ticker	3 Sep	Last resolved close	vs pre-war	Note
Treasury volatility (MOVE)	MOVE Index	74.68	73.10 (4 Sep)	-0.28 vs 73.38	(!) DARK FOR TWO SESSIONS, so the leg is UNRESOLVED , NOT SATISFIED A THIRD TIME. \$9.9: a stale low is not reassurance and a missing print is not a close. On the last resolved close it IS satisfied, a second session
Equity volatility (VIX)	VIX Index	14.32	14.53 (4 Sep)	-5.33 vs 19.86	(!) The 7 Sep cell shows 15.30 — a value for a session in which US equity and options markets were SHUT. It moved, so not a carry; it cannot have settled, so not a close. UNRESOLVED (\$9.58c)
US dollar index	DXY Index	98.908	99.176 (4 Sep)	+1.57 vs 97.608	(!) The 7 Sep cell is IDENTICAL to the 4 Sep close, so \$9.35 fires and the apparent settle against the 99.139 mark measures STALENESS — excluded by name (\$9.37). The 8 Sep mark of 98.806 would be the lowest since 21 August
SOFR overnight rate	SOFRRATE Index	3.66	3.66 (3 Sep)	-0.02 vs 3.68	Dark a THIRD consecutive session. No trigger here
Gasoline, retail pump — scored	AUTMUSAG Index	4.92	4.93 (4 Sep)	+1.41 vs 3.52	(!) BACKFILLED to \$4.93 for 4 September, a FIFTH consecutive rise and the highest since 29 May; the war high is \$5.18 (20 May) and this is expressly NOT one. 33 cents above \$4.60 — and the condition needs THREE closes at or below it with no intervening print above \$4.70 . DARK on 7 and 8 September and NOT extrapolated
Gasoline, DOE regular retail spot — corroboration	USRFRUSA Index	no print	4.071 (31 Aug)	+1.13 vs -2.94	Weekly, surveyed Monday. (!) CORRECTION: the delayed release is 9 September, not 10 — the WPSR is the 10th. Two delays of different lengths, merged in error last edition

(!) THE RECORD KEPT FALLING, AND THE SCORED GASOLINE SERIES SAW ONE OF THE THREE SESSIONS. AAA's national diesel average set a fresh all-time high on 4, 6 and 7 September — **\$5.8500**, **\$5.8970**, **\$5.9015** — and AAA's own record table, read direct on 8 September, now carries the current print. (!) The superseded 2022 figure is no longer displayed, so its 19 June date is no longer asserted; the **\$5.8819** published for 5 September could not be re-verified and is carried single-source. Gasoline still does not follow: AAA regular **\$4.1505** is **17.3%** below its own **\$5.0165** record of 14 June 2022, and on AAA's 31 August base diesel is +30.13c on the week to regular's +6.98c. (!) FOUR RETAIL SERIES, NEVER COMPARED (\$9.19): AUTMUSAG (scored, and GASOLINE) **\$4.93**, 4 Sep; USRFRUSA **\$4.071**, 31 Aug; AAA regular **\$4.1505**, 7 Sep; and EIA's own on-highway diesel **\$5.599** for 31 August against an EIA all-time high of **\$5.810** — so on the EIA series the record has NOT been taken. Full reconciliation at A1.5.

1.5 · Strait operational — 4-row summary (full record, every provider and denominator, at A1.4)

Strand	State on 8 September	Source
UKMTO / incidents / mines	NO JMJC UPDATE 095 EXISTS AT THE CUT. 094 (ICOD 051500Z) is still the newest JMJC product, so its frozen count of 101 says nothing about 6, 7 or 8 September and Iran's 5 September claim to have struck three tankers is UNCORROBORATED into a fourth day. ¶ The newest UKMTO product of any kind is ADVISORY 127-26 of 6 September — merchant vessels 'subject to disabling fire'. (!) It names no vessel; matching it to the three US-struck tankers is THIS DOCUMENT'S INFERENCE. Nothing issued 7 or 8 September; no 125-26 appears in the public list. ¶ 092 carried the mine-danger-area language, 093 and 094 do not — a SECOND consecutive issue. Hormuz SEVERE	ukmto.org and JMJC index read direct 8 Sep; JMJC 094 PDF
Transits + blockade	THREE CENTCOM-DATED TALLY READINGS IN FOUR DAYS, TWO MOVES: 87 / 3 / 2 (3 Sep), 92 (6th), 94 (7th). (!) The finding is not the seven vessels: JMJC 094 cited 87 as current on the day it published, when CENTCOM was already at 92. ¶ KPLER PUBLISHED THREE TEN-DAY AVERAGES of <i>visible commodity</i> vessels: 15+, 13, 10 across 4–6 September, the last of which it calls its lowest since May on no published baseline. (!) A ten-day mean cannot move five points in two sessions, so these are NOT one series and no rate of change is computed across them. ¶ (!) WITHDRAWN: 'no VLCC exit since 2 September' holds only of Kpler's VISIBLE universe — Windward logs a dark 340m VLCC-class tanker outbound on the 4th. PortWatch unchanged at 7% of its own 85/day baseline. No 8 September count — NOT FOUND	CENTCOM postings 6–7 Sep; Kpler via Reuters 7 Sep; Windward MIOC 4–5 Sep
CENTCOM / kinetic	NO CENTCOM RELEASE SINCE 5 SEPTEMBER; NO ACKNOWLEDGED US STRIKE ON IRANIAN SOIL SINCE 1 SEPTEMBER, a SEVENTH day. (!) BOUND BOTH. The window is NOT kinetically quiet — US forces destroyed three Iranian tankers on 5 September, Iran claims three more, UKMTO logged disabling fire on the 6th, Jizan was struck on the 7th. And the tanker <i>Downy</i> was struck at Kharg on 5 September, inside Iranian TERRITORIAL WATERS: a soil-versus-waters distinction , no damage ashore. ¶ Iran escalated in WORDS from three institutions in three days. All three are statements, not events, and \$9.11 gives them no weight either way. ¶ (!) The reported 4 September attack on US targets in JORDAN is STILL UNCONFIRMED into a fifth day and is never merged with the confirmed 31 Aug or 1 Sep events	centcom.mil index read direct 8 Sep; Iranian principals via Al Jazeera and Al-Monitor 6–8 Sep
Diplomacy + economic war	TWO IRANIAN VOICES SAY AN OMAN ARRANGEMENT IS CLOSE. OMAN HAS PUBLISHED NOTHING ON IT. Its security-council secretary said on 6 September the maps are agreed and will be signed within days; its foreign ministry said on the 7th the deal is 'in its final stages'. (!) Neither says done, and a second voice from the same government is not a second source (\$9.24). ¶ (!) Method: fm.gov.om homepage, Statements archive and on-site search for 'Hormuz', read direct 8 September. The site is CURRENT — footer last updated 7 September — and all three items for that date concern a Rwandan state visit and the Arab League. A SECOND consecutive edition in which Iran announces a bilateral instrument with no counterparty text (\$9.23). ¶ Washington's non-recognition is STANDING and undated in this window; what IS dated is the State Department on 8 September. (!) NO talks, venue, round or date — NOT FOUND . NO new OFAC action 5–8 September; the E3-and-US UN referral draft is STILL NOT SUBMITTED	Rezaei via state TV 6 Sep; Baghaei via Al-Monitor 7 Sep; fm.gov.om and ofac.treasury.gov read direct 8 Sep

1.6 · US retail fuel chart — the two charted GASOLINE series (AUTMUSAG scored, navy; USFRUSA weekly, amber) with the **\$4.75** upgrade trigger marked, is RELOCATED to ANNEX A1.5 this edition for space. Navy ends 4 September at **\$4.93**, amber 31 August at **\$4.071**; neither is extrapolated through the dark 7 and 8 September cells. (!) **Neither line is AAA diesel** — both are gasoline, which has not followed diesel, and no trigger is written on diesel (§5A: relocated, never deleted).

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, held. The blockade tally moved three times in four days, the visible traffic count collapsed across three readings, and the allied product that should adjudicate it does not yet exist.

(i) The state. The downgrade requires a verified reopening AND traffic above **25%** of normal for ten sessions. (!) 'NORMAL' HAS NO SINGLE DENOMINATOR — Kpler's pre-war ~130–140/day, IMF PortWatch's 85/day — and on NEITHER does current traffic clear **25%**; the nearest reading of the war is UKMTO VRA's 22–**23%** to 27 August, itself twelve days stale. The leg is not close. Neither leg advanced and the traffic leg moved sharply the wrong way. (ii) The adjudicating document is MISSING, and that is the honest description. No JMIC Update 095 exists at the cut on a direct read of ukmto.org, so 094's frozen count of 101, cut off at 051500Z, is SILENT on 6, 7 and 8 September and cannot be used to test anything that happened in them. It is **PROSPECTIVE**, not **NOT OBTAINED** (\$9.46). The only UKMTO product since is ADVISORY 127-26 of 6 September, which JMIC maps onto the three tankers the UNITED STATES struck — so the newest item in the maritime record is the American action, not an Iranian one. (!) Iran's 5 September claim to have struck three tankers is therefore UNCORROBORATED into a fourth day, and the correct statement is that no allied product records it, not that no such attack occurred. (iii) The traffic leg deteriorated on the one series that publishes daily, and the readings cannot be joined. Kpler published three ten-day moving averages of visible commodity vessels — above 15 on 4 September, about 13 on the 5th, 10 on the 6th — and calls the last its lowest since May, publishing no numeric May baseline, so the superlative is the PROVIDER'S and is not independently checkable. (!) A ten-day mean cannot move five points in two sessions, so these are not one series: each is reported as a separate provider reading and NO rate of change and no direction is computed across them (\$9.24). There is no 7 or 8 September reading from any provider. (iv) A CLAIM THIS DOCUMENT CARRIED IS **WITHDRAWN**. Last edition said no VLCC had exited since 2 September. Kpler still says that of its VISIBLE universe; Windward's AIS-plus-dark log records a 340-metre VLCC-class tanker outbound on 4 September, dark, at reduced speed, trailing a 16km sheen. A dark hull cannot appear in a visible count, so the two are reconcilable and the unqualified form was wrong. The claim is re-issued as *no VISIBLE VLCC exit since 2 September* (\$9.19, \$9.24). (v) THREE CENTCOM-dated readings in four days, two moves: 87 on 3 September, 92 on 6 September, 94 on 7 September, with disabled and boarded unchanged at 3 and 2 throughout. (!) The point is not the seven vessels. It is that JMIC 094 cited 87 as the latest available official figure on the day it published, when CENTCOM's own count was already 92 — the allied summary is a lagging record of the American operation, and this document will not treat it as a check on it.

OIL PRICE SHOCK — 2/5, held. A fourth close through the level on the active contract, and the scored series closed to \$1.84 — its nearest approach since it was last above the line in July.

(i) \$9.56 has run out of mitigating detail. The active contract has now closed above **\$95** on FOUR consecutive sessions — **\$95.63, \$95.52, \$96.28, \$97.00** — the last being the highest active close since 22 May, and the first run of four since a twenty-close run ended on that date. Two closes is this instrument's own definition of a sustained break. Applied to COA, the upgrade condition was met on the 3 September close — five days ago. (ii) Applied to CO2, the series the rule has always been read on, it has not: the continuation closed **\$93.16, +\$0.84, \$1.84** below the level. But that is now the nearest this series has closed to **\$95** since it was last ABOVE it on 24 July, and it narrowed from **\$2.68**. On 3 September the two series moved apart, which made the hold comfortable; on 7 September they moved together, and the gap has narrowed **45%** across two sessions — **\$3.37, \$2.68, \$1.84**. (iii) **The rule is NOT moved, and there is an AFFIRMATIVE reason as well as a procedural one.** The affirmative reason: the **\$95** upgrade, the **\$72.48** downgrade and the **\$72.48** pre-war anchor are ALL written on the continuation, so moving the upgrade alone to COA would leave the downgrade and the anchor on a different series and make the channel incoherent in the other direction. The procedural reason: moving it now would be moving it to the series that fires it, six days and four closes after the document disclosed the problem in the open. That is exactly what \$9.26 forbids and what \$9.16 anticipated. The score is held, the alternative reading is printed in the tape, in the score grid and in the watchlist, and a reader who checks a screen quote for 'Brent' will find **\$97.00** and can see why. (!) What would settle it is not an argument but a print: two CO2 closes above **\$95** fires the upgrade on the rule as written, and **\$1.84** is roughly two sessions' worth of the recent move — the largest daily change on this series in the last four sessions is **\$0.84**. (iv) The basis is stable and neither leg is a signal. Brent's ran 3.89, 3.96, 3.84, 3.88 across 3–8 September — a narrowing then a part-retrace, with no second step and no sign change; WTI's went 2.91 on 4 September to 3.07 on the 8 September mark, a widening, with no 7 September value at all. (!) Two contracts moving opposite ways across the same span for a second consecutive edition is an argument against reading either basis as a market signal. **\$9.41 clears; \$9.36 still forbids constructing anything across the two Brent series.** (v) The move is not being made in the Gulf alone. OPEC+ held October output UNCHANGED on 6 September, and its stated reason was that it must first review member capacity to set 2027 baselines — a process, not a barrel. (!) No quantified OPEC+ spare-capacity figure dated 4–8 September was published or found, and none is scheduled — an absence in the record rather than a pending release or a retrieval failure. The September STEO is due 9 September and the WPSR 10 September, both delayed by the holiday.

US INFLATION IMPULSE — 5/5, held. The count of closes above the firing level did not advance, because there was no close; and the breakeven has now failed to resolve on two consecutive rows.

(i) The 5y5y forward count STAYS AT FOUR. Its last resolved value is the 4 September close of **2.3082%, 0.82 bp** above the **2.30%** firing level and the narrowest of the four. There was no 7 September close, so no fifth close exists and none is claimed. The 8 September mark of **2.3030%** would leave **0.30 bp** — but a mark decides nothing, and this document has been wrong before by treating one as though it did (\$9.31). The scored downgrade, the **2.142%** anchor, is **16.62 bp** away and has not been approached. (ii) BE10 IS **UNRESOLVED ON TWO CONSECUTIVE ROWS, FOR TWO DIFFERENT REASONS, AND THAT IS THE FINDING.** On 7 September it was carried because the cash market was shut (\$9.58c). On 8 September it printed 2.3536, identical to four decimal places to the 7 September cell, in a row where every nominal tenor moved — which is the pure \$9.35 case, the one that concealed a **war high** on 17 August. Its last RESOLVED value is the 4 September **2.3532%, 9.63 bp** above the 2.2569 anchor. (!) \$9.48 applies and is stated rather than assumed: an exact repeat on a four-decimal derived generic is strong evidence of a carry, so the rule discriminates well here, and no d/d is asserted either way. (iii) AN INDEPENDENT SERIES SAYS THE SAME THING, AND THE HONEST FORM IS BOUNDED BY A DATE. A Treasury par-curve read puts the 10-year breakeven flat at **2.35%** on 1, 2, 3 and 4 September — two decimals, so it cannot separate 2.3532 from 2.3536, and it is quoted for DIRECTION only. Through 4 September, the last date on which either the extract's breakeven or the par curve resolves, ten-year inflation

compensation was flat to two decimals against an ISM services prices-paid index at 72.6, its highest in four years. (!) The diesel records of 4, 6 and 7 September and the **\$97.00** close of the 7th fall AFTER that date and are UNTESTED by any breakeven reading this document holds. No inference about re-anchoring is available, and none is drawn. (iv) That is corroborated from the podium. A Federal Reserve governor said on 3 September, the last speech before the blackout opened on 5 September: his earlier worry that higher energy prices would bleed into many goods and services prices 'hasn't come to pass, at least so far'. He also said it may not take much acceleration to nudge him toward supporting tighter policy, and that his vote turns on August inflation. Those two sentences are the whole September debate, and they are hike-versus-hold, not hold-versus-cut. (v) The pricing supports a BAND and not a direction. Sourceable readings of the September HIKE probability, each with its own outlet and never joined: about **50%** (28 Aug), **66%** and **70%** from two outlets (31 Aug), about **52%** (4 Sep, post-payrolls), **59%** (5 Sep); a prediction market read **50%** on the 5th. (!) THE PRECISE PAIR THE LAST EDITION PUBLISHED — **48.4%** then **58.4%** — COULD NOT BE RE-VERIFIED AND THE DECIMALS ARE **WITHDRAWN** (\$9.13). (!) NOR does a direction survive: on these numbers the 4 September post-payrolls reading is BELOW both 31 August readings, and deriving a trend from single points on three venues is the splice \$9.24 forbids. September hike pricing sits somewhere in a 50–70% band and cannot be narrowed.

TREASURY STRESS — 5/5, held. The volatility leg is UNRESOLVED, not satisfied a third time: MOVE has not printed for two sessions, and a stale low is not reassurance.

(i) MOVE has NO PRINT for 7 or 8 September. Its last close is **73.10** on 4 September, a second consecutive close below 75 and the first below the **73.38** pre-war anchor since 28 August. The downgrade's volatility leg is therefore satisfied on the last resolved close and UNRESOLVED thereafter — it is NOT satisfied a third session, and this document will not convert a missing print into a close. \$9.9 was written for exactly this: MOVE went dark through a **10.9 bp** long-end move in July and the stale low read as calm. (ii) The yield leg fails by **24.23 bp** on the same close. It has not closed below **5.00%** since 6 July. (!) BOUND THE OTHER HALF PROPERLY, because the last edition did not: the claim that the leg 'has not been within **15 bp** since 28 July' is true of this regime and is NOT a war-long claim — the pre-war anchor of **4.6106%** sits **39 bp** INSIDE the condition, so the leg was satisfied for the whole of the period before the war. The bounded form is the only honest one. (iii) (!) THE ANOMALY IS UNRESOLVED RATHER THAN PRESENT, and the distinction matters. On the last resolved closes, volatility sits 0.28 points BELOW its anchor while the 30-year sits **63.17 bp** ABOVE its own. Both legs of that comparison are now stale by two sessions on one side and unresolved on the other, so it is restated as of 4 September and no live reading is claimed. (iv) The curve, on marks and across TWO sessions rather than one: 2Y **+0.66 bp**, 5Y **+0.54**, 10Y **+0.41**, 20Y **+0.13**, 30Y **+0.21**, with 2s10s **–0.250**. A mild bear flattener in shape — front-led, with the 2s10s at **–0.250** consistent BY CONSTRUCTION rather than independently, since 41.144 is 4.7862 minus 4.3727. (!) It is NOT monotonic with tenor: the 30-year rose more than the 20-year. (!) And it is small: **the largest move on the curve is** two-thirds of a basis point across two trading sessions spanning four calendar days, which after August payrolls of +162,000 with +55,000 of upward revisions — about five times the twelve-month trailing average of +31,000, and 2.5 to 3.1 times a consensus RANGE of 53,000 to 65,000 — is itself the observation. Every **war-high close** set on 1 September survives; on the last resolved close the 5-year sits **1.03 bp** from its own and on the 8 September mark **0.49 bp**, the nearest of any tenor on either basis. (v) The supply test is running as this edition is written. A **\$58bn** 3-year auctions on 8 September, a **\$39bn** 10-year reopening on 9 September and a **\$22bn** 30-year reopening on 10 September — **\$119bn** of coupons, all settling 15 September, the first day of the FOMC. (!) Results for none of them exist at the cut. August CPI lands 11 September, inside the blackout.

POLITICAL STRESS — 5/5, held. The scored series was DARK across the whole record window, and the record it could not see was set three times in four days.

(i) The scored series moved AWAY from its downgrade for a fifth consecutive edition, then stopped reporting. (!) The downgrade is not a single level: it needs THREE consecutive closes at or below **\$4.60** with no intervening print above **\$4.70**, so with the series dark the earliest possible move is at least three prints away. AUTMUSAG **BACKFILLED** to **\$4.93** for 4 September — a **FIFTH** consecutive rise and the highest print since 29 May — (!) and the last edition's ordinal for **\$4.92** was one too high and is **CORRECTED** from a fifth to a **FOURTH** (\$9.32), expressly NOT a **war high** (**\$5.18**, 20 May). It sits **33 cents** above the **\$4.60** downgrade condition and 18 above the **\$4.75** that fired the upgrade. **It produced NO PRINT on 7 or 8 September and is not extrapolated (\$9.30).** (ii) THE RECORD KEPT FALLING WHILE THE MEASURE WAS DARK. AAA's national diesel average set a fresh all-time high on 4, 6 and 7 September — **\$5.8500**, **\$5.8970**, **\$5.9015** — and AAA's own highest-recorded-price table now shows the current print as the record. (!) Two housekeeping corrections follow from re-verification rather than from news. **The superseded 2022 figure is no longer displayed by AAA, so this document stops asserting 19 June 2022 as its date and carries only the level.** And the **\$5.8819** the last edition published for 5 September could not be independently re-verified and is carried as single-source (\$9.13). (iii) Gasoline still does not follow. AAA regular **\$4.1505** on 7 September is **17.3%** below its own **\$5.0165** record of 14 June 2022. On AAA's own 31 August base, diesel is +30.13c on the week and regular +6.98c — 4.3 times the pace, a third consecutive edition. (!) A **FOURTH** retail series must not be spliced in: EIA's on-highway diesel read **\$5.599** for 31 August against an EIA all-time high of **\$5.810**, so on the EIA series the record has NOT been taken. Different survey, different universe, and its next print is 9 September (\$9.19). (iv) The cause is still a refining constraint rather than a crude one, on the 28 August week: distillate stocks **104.2 mn bbl**, **14%** below the five-year average, against refinery utilisation of **98%**, the highest since 2018; and East Coast distillate at **19.318 mn bbl**, the lowest in a weekly series that begins in 1990. A Russian diesel export ban, extended on 29 August to 30 September, is a second driver and this document does not apportion between them. (v) THE LIMITATION IS A SCOPE CHOICE, NOT AN INSTRUMENT FAILURE, AND THE DISTINCTION MATTERS. The scored series resolved on 4 September, the FIRST of the three record days, and was dark on the 7th and 8th — so it saw one of the three and missed two. The deeper point is that AUTMUSAG is a GASOLINE series and the records were in DIESEL, and this document insists in four places that gasoline and diesel are different grades, different surveys and different universes that must never be compared. **The channel cannot register a diesel record BY CONSTRUCTION**, and its own \$1.3 shows why: gasoline did not follow, at **17.3%** below its own 2022 record. (!) Whether the political channel should be scored on a distillate series is a real question and is NOT decided here, because re-basing a trigger onto the series that would move it is what \$9.21 and \$9.56b forbid.

ESCALATION RISK — 5/5, held. Iran escalated in words from three institutions in three days and in deeds not at all; Oman is again the missing signature, for a second edition.

(i) THE KINETIC RECORD SINCE 5 SEPTEMBER IS EMPTY AND THE RHETORICAL ONE IS NOT. No CENTCOM release since 5 September on a direct read of its index; **no acknowledged US strike on Iranian SOIL since 1 September, a seventh day;** and no Iranian

attack on any Gulf state since 3 September. (!) Bound both. **The window is NOT kinetically quiet — US forces destroyed three Iranian tankers on 5 September, Iran claims three more, UKMTO logged disabling fire on the 6th and Jizan was struck on the 7th.** And the tanker *Downy* was struck at the Kharg anchorage on 5 September, inside Iranian territorial waters, so the soil claim is a soil-versus-waters distinction rather than an absolute; no damage ashore was reported. (ii) Against that emptiness, three Iranian principals in three days: the parliament speaker on 6 September that the era of proportionate responses is over and that American oil and gas companies across these waters 'share that exposure'; the security-council secretary on 7 September that the posture toward US warships and bases has been 'fundamentally recalibrated'; the acting defence minister on 8 September, answering US claims that Iran cannot reach the blockading warships, 'you will see the results'. All three are announcements. §9.11 governs: an announcement is not an event, and the channel is not moved on any of them — in either direction. (iii) Iran's 5 September claim to have struck three tankers stays UNCORROBORATED into a fourth day; the newest UKMTO product is the one that logs the AMERICAN strikes. (!) The reported 4 September attack on US targets in JORDAN is STILL UNCONFIRMED on a second day, addressed by no government, and is never merged with the confirmed 31 August and 1 September Jordan events (§9.13). (iv) THE MEDIATOR IS THE MISSING SIGNATURE FOR A **SECOND** CONSECUTIVE EDITION, AND THE NEGATIVE IS NOW STRONGER, NOT WEAKER. Iran's security-council secretary said on 6 September that Hormuz maps are agreed with Oman and will be signed within days; its foreign-ministry spokesman said on 7 September that the deal is in its final stages. (!) The method, stated in full: fm.gov.om homepage, Statements archive and on-site search for 'Hormuz', all read direct on 8 September. The site is CURRENT and not stale — its own footer reads last updated 7 September 2026 — and the three items it carries for that date are a Rwandan state visit and the Arab League. That distinction is the whole point of §9.23: a silence from a live publisher is evidence; a silence from a dead page is not. Neither confirmation nor denial exists. (v) And the counterparty that matters most has spoken against it: Washington has said it would not recognise an Iran–Oman agreement on the strait, and the State Department said on 8 September it will not allow Iran to 'hold the global economy hostage'. An instrument announced by one party, unacknowledged by the second and pre-rejected by the third is not a mediated pause. The channel has been at 5/5 since 9 July and can register none of it (§9.7).

2.2 · Stage-4 thresholds

	Test	State on the 4 September close (the last rate close), with events to 8 September
A	A failed coupon auction: a clearing yield with a tail above the 1pm when-issued level	UNTESTABLE AS WRITTEN (§9.39) — the test needs a when-issued level Treasury does not publish, so it returns NO state at all and is excluded from Stage 4 in both directions. It is neither armed nor not-armed, and recording it as 'not armed' would be the false negative the rule exists to prevent. THE THREE LEGS ARE RUNNING AS THIS EDITION IS WRITTEN: a \$58bn 3-year on 8 SEPTEMBER, a \$39bn 10-year reopening on 9 SEPTEMBER and a \$22bn 30-year reopening on 10 SEPTEMBER — \$119bn of coupons, all settling 15 SEPTEMBER, the first day of the FOMC. (!) Results for NONE of them exist at the cut: PROSPECTIVE . (!) The 13- and 26-week bills were shifted off Monday by the federal holiday and auction on 8 September; with the 6-week they total \$246bn , which is supply in the same week and is stated rather than merged with the coupon figure. (!) A WITHDRAWAL. The last edition said the enlarged long-end buyback regime BEGINS on 9 September, the same session as the 10-year reopening. Treasury's own tentative schedule has 9 September as a SHORT-END CASH-MANAGEMENT operation, nominal coupons 1Mo–2Y, up to \$12.5bn ; the 10Y–20Y liquidity-support operation is 10 SEPTEMBER. The release announcing the increase says 'effective September 9', which is consistent only if it refers to the ANNOUNCEMENT date of the 10 September operation. Both readings are published and neither is resolved; the updated schedule promised in that release is NOT PUBLISHED — the issuer committed to publish and has not, which is a fact about the world and not about the fetch. Read the allotment composition, not an unsourceable tail (§9.29, §9.40). A2.3.4
B	30-year above 5.20% WITH 10-year above 4.65%	ARMED continuously since the 28 August close — SIX consecutive closes, ONE arming — and the run does NOT extend this edition, because 7 SEPTEMBER PRODUCED NO CLOSE. The seventh is decided on the 8 September close, which does not exist at the cut. 30-year 5.2423% clearing by 4.23 bp ; 10-year 4.7821% clearing by 13.21 bp . (!) On the 8 September MARK both legs clear by 4.44 and 13.62 bp — which would END three consecutive narrowings on the 30-year leg — but a mark arms nothing and the ordinals are NOT advanced on one. Ordinals UNCHANGED. Across 29 July to 4 September B has armed SIX times and lapsed FIVE — eleven states, ten changes — and the current arming is the sixth, running six closes. (!) §9.49, the recorded DEFECT, stands unchanged for want of a session: B has been satisfied across SIX closes spanning THREE distinct curve shapes — bear flattener, bear steepener and bull steepener — three of the four configurations available. A test meant to detect long-end stress has returned the same answer through all three
C	MOVE above 130	NOT ARMED , and UNRESOLVED SINCE 4 SEPTEMBER — MOVE has no print for 7 or 8 September. On its last close of 73.10 it is 56.90 points below C and 41.92 below the 115.02 war high of 26 March. (!) The Treasury downgrade's volatility leg is SATISFIED on that close and is NOT satisfied a third session; two sessions of silence are not a third close (§9.9). (!) The two anchor deviations are reported SEPARATELY, as of 4 September, and no composite is constructed: volatility 0.28 points BELOW its 73.38 anchor and the 30-year 63.17 bp ABOVE its 4.6106 anchor

2.3 · Cross-asset macro record — compressed

¶ THE WINDOW IS THIN AND THAT IS ITSELF A FINDING: 5–6 September was a weekend and 7 September a federal holiday, so the effective US macro days are 4 and 8 September, and NO Federal Reserve speech occurred between them — a CONFIRMED ABSENCE, the FOMC blackout having opened on 5 September. The last word before it was a governor's on 3 September and it cuts AGAINST the pass-through thesis: his earlier worry that higher energy prices would bleed into goods and services prices 'hasn't come to pass, at least so far', and his vote turns on August inflation. PPI lands 10 SEPTEMBER and CPI 11 SEPTEMBER, both INSIDE the blackout. ¶ The 28 August EIA week stands: crude **–4.5 mn bbl** to 424.5, utilisation **98%**, distillate **14%** below its five-year average, PADD 1 distillate the lowest since 1990; SPR **286.6 mn bbl**. (!) CORRECTION: the EIA RETAIL print is delayed to 9 September, not 10 — two different holiday delays, merged in error last edition; the WPSR is the 10th. ¶ Freight, week 36: TD3C WS 677.22, a round-trip TCE just under **\$704,000/day**, against TD34 Gulf of Oman–China at just over **\$261,800/day** — about **37%**, the cleanest published measure of what entering the Gulf proper costs against loading outside it. The full macro record, WPSR detail, Treasury-supply internals and Fed pricing are at ANNEX A2.3; freight and war risk at A1.6.

3 · SHOCK SCORE

27 / 30 — CRISIS band (22–30). Held for a twenty-first consecutive edition. No channel moved. Energy is scored on the 7 September close; every rate field on the 4 September close, because 7 September produced none. \$2.1 carries the detail, A10.2 the full trigger state.

Channel	Score	Basis, with its as-of date	Distance to a change
1 · Maritime denial	5	As of 6 Sep (Kpler), 5 Sep (JMIC 094 ICOD). 094's frozen 101 is silent past 5 Sep; Kpler's three readings 15+, 13, 10/day	At the cap, and the traffic leg clears 25% of normal on NO denominator. 094 cited 87 as current when CENTCOM was at 92
2 · Oil price shock	2	Brent CO2 \$93.16, +\$0.84 , highest close since 24 July	\$1.84 below \$95 , from \$2.68 . (!) The ACTIVE contract closed through a FOURTH time; \$9.56
3 · US inflation impulse	5	5y5y last resolved 2.3082% ; the count above 2.30% stays at FOUR. BE10 unresolved twice	16.62 bp above the 2.142% anchor. (!) Compensation was flat to two decimals THROUGH 4 SEPTEMBER; the records fall after it, untested
4 · Treasury stress	5	MOVE 73.10 (4 Sep close), dark since. No rate close exists after 4 September; the 8 Sep curve is a mark	(!) Volatility leg UNRESOLVED , NOT satisfied a third time (\$9.9); yield leg fails by 24.23 bp on the last close
5 · Political stress	5	AUTMUSAG \$4.93 (4 Sep), a fifth straight rise, then DARK. AAA DIESEL set records on 4, 6 and 7 Sep; the scored series is GASOLINE	33 cents above \$4.60 , and the condition needs THREE closes at or below it. (!) The channel cannot register a diesel record by construction
6 · Escalation risk	5	No CENTCOM release since 5 Sep; no US strike on Iranian soil a seventh day; no Gulf-state attack since 3 Sep	At the cap. (!) Three Iranian principals escalated in WORDS. \$9.11: an announcement is not an event, either way

Read the composition, not the total (\$9.7, \$9.27). Five of six channels sit at the ceiling, so the score cannot register US retail diesel setting three all-time highs in four days, Kpler's lowest reported traffic reading since May, a blockade tally that moved twice in four days, or Iran and its foreign ministry both announcing an agreement the named counterparty has not acknowledged. It equally cannot register what cut the other way: a seventh day with no acknowledged American strike on Iranian soil, no Iranian attack on any Gulf state since 3 September, and ten-year inflation compensation flat to two decimals through 4 September. (!) Oil, the only channel with headroom, moved toward its upgrade on both series again and the scored gap is now **\$1.84**. **The hold is a judgment, not an accident of drafting**: the **\$95** upgrade, the **\$72.48** downgrade and the pre-war anchor are ALL written on the continuation, and moving one of the three would make the channel incoherent in the other direction.

4 · WHAT HAS CHANGED SINCE THE 7 SEPTEMBER EDITION

#	Change	Significance
1	The SCORED Brent continuation closed \$93.16, +\$0.84 , its highest since 24 July and \$1.84 from the \$95 upgrade; the ACTIVE contract closed \$97.00 , a FOURTH straight close through the level and its highest since 22 May	(!) The scored gap has narrowed 45% across TWO sessions: \$3.37, \$2.68, \$1.84 — still more than twice this series' largest daily move of the last four sessions. Two CO2 closes above \$95 fires the only channel with headroom. The rule is NOT moved, because the upgrade, the downgrade and the anchor are all written on the continuation
2	NO 7 SEPTEMBER RATE CLOSE EXISTS, as last edition said the holiday calendar implied: six rate fields and the DOLLAR INDEX are identical to the 4 September close, while BE10, the 5y5y and the VIX moved but cannot have settled	(!) Threshold B's armed run does NOT extend and the ordinals are NOT advanced — the seventh close is decided on 8 September. The dollar looked reconcilable and is a carry, so it is excluded from the reconciliation by name (\$9.37)
3	NEW PITFALL \$9.60 — A ROW CAN LOSE DATA IT ALREADY HELD. WTI CL2 88.96, CLA 91.95 and Henry Hub 2.929, all published as 7 September marks last edition, are BLANK in this extract	\$9.8 tests a row that failed to REFRESH, \$9.10 one that is BACKFILLED . Neither anticipated a row that REGRESSES. (!) No d/d and no reconciliation entry: there is no close to reconcile against (\$9.37)
4	AAA DIESEL set a FRESH ALL-TIME HIGH on 4, 6 and 7 September — \$5.8500, \$5.8970, \$5.9015 — while the SCORED series, which is GASOLINE, resolved at \$4.93 for the 4th and was dark on the 7th and 8th	The channel cannot register a diesel record BY CONSTRUCTION, not by data failure: AAA regular is 17.3% below its own 2022 record. (!) AAA no longer displays the superseded 2022 diesel record, so its 19 June date is no longer asserted, and \$5.8819 for 5 September could not be re-verified
5	Iran's foreign ministry said on 7 September that the Oman deal is 'in its final stages', a day after its security-council secretary said the maps are agreed and will be signed. fm.gov.om published nothing on it. CENTCOM's tally read 87, 92, 94 across 3–7 September; Kpler published three ten-day averages, 15+, 13, 10	A SECOND consecutive edition in which Iran announces a bilateral instrument with no counterparty text (\$9.23); the negative is STRONGER because the ministry site's footer shows it was updated on 7 September. (!) JMIC 094 cited 87 as current when CENTCOM was at 92 — the allied summary lags the American operation

#	Change	Significance
6	THREE WITHDRAWALS AND THREE CORRECTIONS, ALL FROM RE-VERIFICATION. WITHDRAWN: 'no VLCC has exited since 2 September' (Kpler's VISIBLE universe only; Windward has a dark 340m VLCC-class outbound on the 4th); the 48.4% → 58.4% hike-odds pair; and any DIRECTION for hike pricing. CORRECTED: the enlarged long-end buyback is 10 September, not the 9th; the delayed EIA RETAIL print is 9 September, not the 10th; and the ordinal for AUTMUSAG's \$4.92 , one too high	The canonical register is at A7. (!) On hike pricing no direction replaces the withdrawn pair: sourceable relays run 50%, 66% and 70% , then 52% and 59% , on three venues that cannot be joined, so September pricing sits in a 50–70% band and cannot be narrowed

5 · SCENARIO MAP

Scenario	Prob.	Content	Shift and why
Return to full war	37%	Sustained US or Israeli strikes inside Iran with Iranian reprisals against US bases and Gulf infrastructure	–1. FOR: nothing weighable — three Iranian principals escalated verbally, and \$9.11 gives words no weight either way. AGAINST: a SEVENTH day with no acknowledged American strike on Iranian soil. The only weighable evidence cut against the line
Deal collapse on terms	35%	The corridor framework dies over geometry, fees and sovereignty; blockade and counter-blockade both continue	+1, on two DATED items: the State Department on 8 September that it will not let Iran 'hold the global economy hostage', and an E3-and-US draft that would refer Iran to the Security Council for the first time in twenty years. (!) US non-recognition is a STANDING position and is NOT what moved the line
Regional relapse	15%	The war widens to Gulf states — UAE, Saudi, Bahraini, Kuwaiti or Qatari territory or infrastructure struck	UNCHANGED, and the reason is definitional. Five days with no Iranian attack on a Gulf state would argue for a cut — but Aramco's Jizan refinery, Gulf-state infrastructure, was struck again on 7 September, meeting this scenario's written condition whatever the attribution. HELD, not cut
Contained but violent	10%	The present state persists: blockade, counter-blockade, strikes on shipping, no reopening, no general war	UNCHANGED. FOR: the present state persisted. AGAINST: the containment is maintained by a blockade whose tally moved twice in four days and by traffic at Kpler's lowest reported reading since May
Mediated pause	3%	A verified stand-down, resumed talks and a reopening on published terms	UNCHANGED at the lowest reading of the war. FOR: nothing that qualifies — Iran's second statement is the same government, and Qatar's remarks are a warning, not a mediation datum. AGAINST: Oman has published nothing and NO talks, venue, round or date exists

Sums to 100. (!) **TWO lines moved and they OFFSET: full war –1, deal collapse +1.** Full war is cut because the only weighable evidence in the window — an empty kinetic record on Iranian soil — cut against it, \$9.11 giving three days of Iranian verbal escalation no weight either way. Deal collapse rises on two DATED items, not on the standing US non-recognition position. Regional relapse is HELD rather than cut: five quiet days would argue for a cut, but Gulf-state infrastructure WAS struck on 7 September, which meets the scenario as written whatever the attribution. (!) ANNEX — full \$1 commentary, the strait record, the retail-fuel chart (A1.5a), freight and war risk (A1.6), sources, protocol, methodology and trigger levels. Nothing cut, only relocated (\$5A).

6 · WATCHLIST · NEXT 24–72 HOURS

#	Watch item	Why it matters
1	Whether the SCORED Brent continuation closes above \$95 . It closed \$93.16, \$1.84 away, from \$3.37 two sessions earlier; the ACTIVE contract has closed through FOUR times	Two CO2 closes fires the oil upgrade 2→3 and takes the score to 28. (!) \$9.56 then becomes a decision, not a disclosure
2	The \$58bn 3-year (8 Sep), \$39bn 10-year reopening (9th) and \$22bn 30-year reopening (10th) — \$119bn settling 15 September, FOMC day one — plus \$246bn of bills	The first coupon test since the August refunding. (!) Threshold A stays untestable (\$9.39): read the allotment composition, never a tail. The 10Y–20Y buyback is 10 September, NOT the 9th
3	August PPI on 10 September and CPI on 11 September, both inside the FOMC blackout, a governor having said his vote turns on the August inflation data	The inflation channel is scored on a forward whose last close cleared its firing level by 0.82 bp . CPI moves it further than anything in the Gulf will
4	Whether MOVE and AUTMUSAG PRINT AT ALL — both dark two sessions — and whether JM1C 095 issues, whether the count breaks 101 and whether a third issue passes WITHOUT the mine-danger-area language. The EIA retail release lands 9 September, the WPSR the 10th	Two channels are scored on stale values: a missing print is neither a third sub-75 close nor a stalled gasoline series (\$9.9, \$9.30). (!) 094 is cut off at 051500Z and silent on 6–8 September, so Iran's claimed attacks are untested; two issues without the mine language is a run, three a regime
5	Whether Oman CONFIRMS or DISOWNS the 'agreed maps', and whether Iran promulgates the exclusion zone with actual coordinates	(!) An Omani denial would be the first public contradiction of Tehran by the mediator. A zone without coordinates is rhetoric